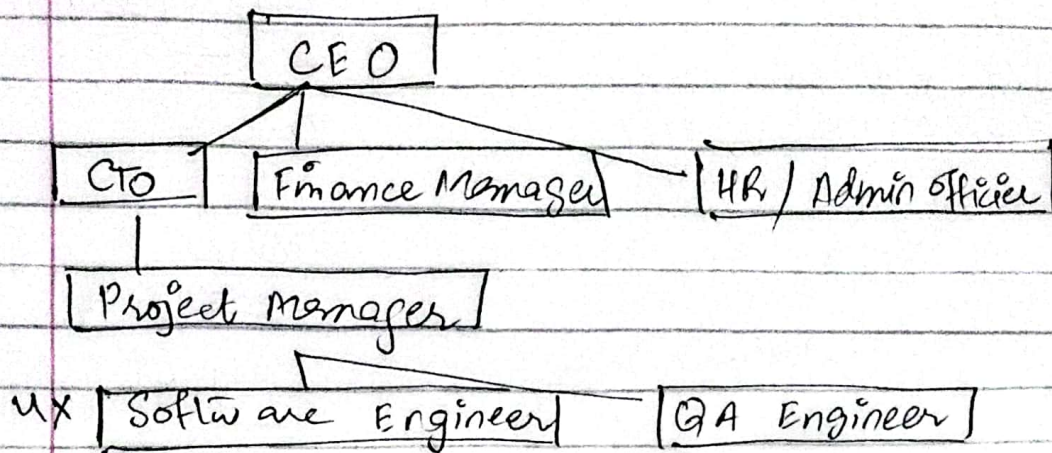


Q1 Organizational Structure Diagram.



Type :- Hierarchical structure

Justification :-

It is suitable because of the following reasons :

- provides clear accountability through defined reporting chains
- The CEO's role ensure quick decision making and strategy making.
- The CTO and project manager handles operational team
- The function arrangement allow each dept to work efficiently and effectively.
- This structure combines flexibility of project and stability of functional arrangement which contributes in efficiency and adaptability.

Q2 Legal Entity Justification :-

For Technova private limited company is suitable because :-

- The liability is limited. They are not obliged to pay company debts through their personal assets in this way the assets of two stakeholder's are protected.

- The ownership ~~and share~~ is divided into shares. i.e., Among two stakeholders. They can sell share and bought them too while public can't do that as it is private.
- Being private limited company, it is responsible to give annual reports and accounts to the legal department of country for transparency and compliance.

Q3.

~~Balance Sheet~~ (a) ~~Balance Sheet & Profit & Loss Statement~~

TechNova Solutions LTD

Balance Sheet

As of September 14, 2025 December 31, 2025.

ASSETS

Current Assets

Cash at Bank	1,200,000
Accounts Receivable	800,000
Prepaid Rent	200,000

Total

2,200,000

Fixed Assets

Office Equipments	1,000,000
Computers & softwares	1,500,000

Total

2,500,000

Total Assets

4,700,000

TECH SOLUTIONS LTD
Balance sheet
As of December 31, 2025

LIABILITIES AND EQUITY

current liabilities

Accounts Payable	400,000
Short-term loan	300,000
Total	700,000

equity

shareholder equity	4,000,000
Total equity	4,000,000
Total liabilities and equity	4,700,000

(b)

Liquid Asset :-

Cash at Bank is a liquid Asset as it is readily available to use and meet company obligations.

(c)

shareholder Equity :-

According to the content shareholder equity is the residual value of the company assets after all liabilities have been deducted. For Technova, it reflects the founders initial investment (5,000,000 PKR) and retained earnings (4,000,000 PKR)



Q4. Cash Flow Statement *

TECHNOVA SOLUTIONS LTD

Cash Flow Statement

For the Year Ended December 31, 2025.

Cash Inflows

client payments	3,500,000
shareholder investment	5,000,000
total	<u>8,500,000</u>

Cash Outflow

Salaries Paid	3,000,000
Office Rent Paid	600,000
Equipment Purchase	1,000,000
Software Licence Paid	800,000
Marketing & Miscellaneous Cost	200,000
Loan Repayment	200,000
total	<u>5,500,000</u>

Net cash position 3,000,000.

∴ Net cash position (Total cash inflows - Total cash outflows)

Q5: Strategic Planning Brief & -

Technova's functional arrangement supports its strategic goals by promoting efficiency, specialization and accountability. The hierarchical structure give balance accountability which ensures high-quality and client-focused project deliverance. Moreover, on financial side, with shareholder's investment of 5000,000 and net ~~cash~~ cash position of 3,000,000 of Technova get stabilizing. Using these resources company meets its operational expenses (research, development, marketing) which are essential for success. Strong cash flow also protects against under capitalization and ensure liquidity.